



EVERGREEN COMMUNITY CARE INC.

FINANCE AND ADMINISTRATION MANUAL

Comprehensive Edition — Version 2.0 — July 2026

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Primary Legislation	Business Corporations Act (RSBC 2002, c.57); Society Act (RSBC 2015, c.18); Income Tax Act (Canada); Employment Insurance Act; Canada Pension Plan Act; BC Employment Standards Act; Employer Health Tax Act (BC); Workers Compensation Act; FOIPPA; Child, Family and Community Service Act (CFCSA)
MCFD Standard Reference	MCFD Standard H.1 — Administration and Management: Financial Management Requirements
Additional Standards	CFCSA s.70(1)(g) (youth personal funds); MCFD Standard H.2 (annual review); CLBC Service Terms and Conditions
Applies To	Board of Directors; Finance and Audit Committee; Executive Director; Finance Manager; Program Managers; Program Coordinators; all staff with any financial authority
Key Changes from v1.0	NEW s.14: Youth Personal Funds and Trust Accounts (CFCSA s.70) EXPANDED s.19: Employee Benefits Administration EXPANDED s.12: Travel Policy NEW s.5.5: Budget Amendment authorization levels EXPANDED s.8.2: AR Collections protocol NEW s.32: Cybersecurity Incident Response (6-step BEC protocol) EXPANDED s.35: Finance and Audit Committee full mandate ENHANCED s.25.3: Vendor verification anti-fraud controls NEW s.2.3: MCFD H.1 compliance map



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PART A — FINANCIAL GOVERNANCE

1. FINANCE AND ADMINISTRATION POLICY STATEMENT

1.1 Policy Statement

Evergreen Community Care Inc. is committed to managing its financial resources with integrity, transparency, accountability, and prudence. Our funding comes primarily from the BC Ministry of Children and Family Development (MCFD) and Community Living BC (CLBC) — public dollars directed toward the care of vulnerable children, youth, and adults. Every dollar we spend must be directed toward our service mission, documented accurately, and reported honestly. This Finance and Administration Manual establishes the policies, procedures, and controls that govern all financial and administrative activities of Evergreen Community Care. Compliance is mandatory for all staff, volunteers, and directors who exercise financial authority on behalf of the organization.

1.2 Core Financial Principles

Principle	What It Means
Accountability	Every person with financial authority is responsible for all decisions made and must be prepared to explain each decision in full to management, the Board, MCFD, or an auditor
Transparency	Financial information is accurate, complete, and available to those with a legitimate need — including MCFD, CLBC, the Board, the external auditor, and any regulatory authority
Stewardship	Organizational funds are used only for the purposes for which they were provided; never for personal benefit or unauthorized purposes
Segregation of Duties	No single person controls an entire financial transaction from authorization through recording to payment; these functions are separated between different individuals wherever possible
Compliance	All financial activities comply with applicable legislation, MCFD and CLBC contract terms, CRA requirements, and generally accepted accounting principles (GAAP)
Consistency	Records are maintained consistently, enabling meaningful period-over-period comparison and reliable external audit
Proportionality	Controls are calibrated to the risk and value of each transaction; routine small purchases require less oversight than major contracts
Sustainability	Financial management prioritizes the long-term financial health of the organization so Evergreen Community Care can continue to serve children and youth year over year



2. ACCOUNTING STANDARDS AND MCFD H.1 COMPLIANCE FRAMEWORK

2.1 Accounting Standards

Evergreen Community Care maintains financial records in accordance with Canadian Generally Accepted Accounting Principles (GAAP) applicable to not-for-profit organizations. Where incorporated as a Society, the Accounting Standards for Not-for-Profit Organizations (ASNPO) under Part III of the CPA Canada Handbook apply. Accrual accounting: revenues and expenses are recognized when earned or incurred, not when cash changes hands. Reporting currency: Canadian dollars (CAD). Fiscal year: April 1 to March 31, or as amended by Board resolution.

2.2 Financial Reporting Periods

Period	Content and Distribution
Monthly — within 15 business days of month-end	Program-level and organizational financial statements; AR aging; AP summary; cash position. Distributed to PMs (program level) and ED (organizational)
Quarterly	Board-level summary; year-to-date vs. budget; year-end forecast; material risks. Finance and Audit Committee receives full statements.
Annual — within 120 days of fiscal year-end	Audited financial statements; MCFD annual financial report; all statutory filings

2.3 MCFD Standard H.1 — Complete Compliance Map

MCFD Standard H.1.9 sets specific financial management requirements. This table maps each requirement to the section of this manual that addresses it.

MCFD Standard H.1.9 Requirement	Status	Manual Section
Accounting system consistent with GAAP is maintained	Compliant	Section 2.1
Written policy governs: receipt and disbursement of funds, goods, and services	Compliant	Sections 4, 9, 10, 13



Written policy governs: regular review and revision of budgets	Compliant	Sections 5, 6
Written policy governs: purchasing, inventory control, investments, and conflicts of interest	Compliant	Sections 9, 28
Annual budget is produced	Compliant	Section 5
Monthly financial statements accurately record all income and expenditures	Compliant	Sections 6, 20
Annual financial report is produced as required by MCFD	Compliant	Sections 21.1, 22
Financial records are stored in a retrievable form	Compliant	Section 23
Written policies govern fundraising activities in accordance with applicable law	Compliant	Section 7.5
Insurance coverage is adequate and appropriate (Standard H.1.10)	Compliant	Section 27
Youth personal funds and trust accounts managed per CFCSA s.70(1)(g)	Compliant	Section 14 — added v2.0

3. FINANCIAL ROLES AND RESPONSIBILITIES

Role	Financial Responsibilities
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Board of Directors	Approves annual budget and audited financial statements; reviews quarterly financial reports; ensures adequate financial controls; appoints external auditor; holds ED accountable for financial management; maintains Finance and Audit Committee
Finance and Audit Committee	Reviews financial statements and audit findings in detail; recommends annual budget and auditor appointment to the Board; reviews this manual annually; oversees whistleblower process for financial misconduct. See Section 35 for full mandate.
Executive Director	Ultimate accountability for all financial management; approves expenditures within delegated authority; presents financial reports to the Board; certifies all MCFD invoices; authorizes all payroll changes in writing; approves all contracts within authority
Finance Manager / Controller	Day-to-day financial management; monthly financial statements; payroll; bank reconciliations; management reports; chart of accounts; budget file; audit file; timely CRA remittances; accounts payable and receivable; petty cash program; corporate credit card reconciliation; youth personal funds ledger
Program Manager	Manages program budget; approves expenditures within delegated authority; reviews monthly program reports; approves staff timesheets; identifies and explains variances; approves youth personal fund disbursements within their program
Program Coordinator	Manages facility petty cash; maintains youth personal funds records; approves routine program purchases within delegated limit; submits timesheets, receipts, and financial records to Finance Manager on schedule
All Staff with Financial Authority	Comply with this manual; maintain accurate records; never authorize payments to themselves; report suspected fraud immediately

4. SIGNING AUTHORITY AND DELEGATED FINANCIAL AUTHORITY

4.1 Principle — Separation and Dual Authorization

No single individual should have sole control over any complete financial transaction. The person who authorizes a purchase should be different from the person who processes the payment. The person who handles cash should be different from the person who reconciles the bank account. These principles are applied consistently throughout this manual.

4.2 Delegated Signing Authority Table

Transaction Type	Program Manager	Executive Director	Board Finance Committee	Board Resolution Required
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Routine program purchases	Up to \$2,500	Up to \$10,000	Up to \$25,000	Above \$25,000
Staff expense reimbursements	Up to \$500/claim	Up to \$2,500/claim	—	—
Vendor contracts / service agreements	Up to \$5,000/yr	Up to \$25,000/yr	Up to \$50,000/yr	Above \$50,000/yr
Capital expenditures	Up to \$2,500	Up to \$10,000	Up to \$25,000	Above \$25,000
Cheques and EFT payments	Not applicable	Up to \$25,000	Up to \$50,000	Above \$50,000
Employment contracts / compensation	Recommend only	Authorize within approved budget	Authorize above salary band	Board approval for ED compensation
Bank account opening / closing	Not applicable	Not applicable	Requires Board resolution	Always required
Youth personal fund disbursements	Up to \$200 per PC	All above \$200 with written record	—	—
Lease agreements	Not applicable	Under \$50,000/yr, under 3 years	Review required	Above \$50,000/yr or over 3 years
Write-off of uncollectable receivables	Not applicable	Up to \$2,500	Above \$2,500	Above \$10,000

4.3 Key Rules for All Signing Authority

- No one may authorize a payment to themselves — self-authorized payments require a second signatory one level above
- No one may authorize a payment to an immediate family member without Finance Committee approval
- Splitting transactions to circumvent signing authority thresholds is prohibited and constitutes financial misconduct subject to immediate suspension
- Verbal authorization is not sufficient — all authorizations must be documented in writing or in the accounting system before processing
- Signing authority is personal and non-delegatable except where specifically documented in writing and approved by the ED

PART B — BUDGET AND REVENUE

5. ANNUAL BUDGET DEVELOPMENT AND APPROVAL

5.1 Purpose

The annual budget is Evergreen Community Care's primary financial planning tool. It establishes revenue expectations and authorized expenditure levels for the fiscal year, provides the basis for ongoing financial monitoring, and is a contractual requirement under MCFD Standard H.1 and our MCFD service contracts.

5.2 Budget Development Calendar

Timing Before Fiscal Year-End	Activity	Responsible
3 months	Finance Manager prepares prior-year actuals analysis and multi-year trend review	Finance Manager
2.5 months	ED issues budget guidelines to Program Managers: confirmed service volumes, staffing assumptions, cost escalation expectations	Executive Director
2 months	Program Managers submit program-level budget requests to Finance Manager	Program Managers
6 weeks	Finance Manager consolidates program budgets; prepares draft organizational budget including overhead, capital, and reserve	Finance Manager
5 weeks	ED reviews draft; reconciles with confirmed MCFD and CLBC funding	ED + Finance Manager
4 weeks	Draft budget presented to Finance and Audit Committee for review and recommendation	Executive Director
2 weeks	Final budget presented to Board of Directors for approval	Executive Director
Day 1 of new fiscal year	Budget distributed to all Program Managers; loaded into accounting system	Finance Manager

5.3 Budget Structure

- Revenue: MCFD block funding; MCFD per-diem; CLBC contract; provincial/federal grants; fundraising; investment income; other



- Direct program expenses: staffing (salaries, wages, casual, benefits); client-related (food, clothing, activities, transport, medical, dental, allowances); program supplies
- Facility expenses: rent; utilities; maintenance; cleaning; insurance allocation; vehicle operating costs
- Administration and overhead: management salaries; administrative staff; office costs; technology; legal; accounting; communications; Board expenses
- Capital expenditure budget: equipment; furniture; vehicles; leasehold improvements; technology hardware
- Contingency reserve: minimum 5% of total annual operating expenditures (see Section 5.4)

5.4 Contingency Reserve

A minimum contingency reserve of five percent (5%) of total annual operating expenditures is maintained in an accessible savings or money market account. Access requires joint authorization from the Executive Director and Board Chair with a written explanation of the unanticipated essential expenditure. The Finance and Audit Committee is notified at its next meeting of any reserve draw.

5.5 Budget Amendments

Amendment Type	Authorization Required	Documentation
Reallocation within same program — under \$5,000	Executive Director	Written memo to Finance Manager; distributed to affected PM within 5 business days
Reallocation between programs, or single reallocation \$5,000–\$24,999	Finance and Audit Committee (email approval acceptable between meetings)	Committee approval email; Finance Manager memo; distributed to Board
Reallocation of \$25,000 or more; or any change to organizational revenue forecast	Board of Directors	Board resolution at next meeting or by email resolution per bylaws
Any projected year-end deficit	Immediate Board notification; Board-approved remediation plan within 30 days	ED presents to Board within 5 business days of identification

6. BUDGET MONITORING AND VARIANCE REPORTING



6.1 Monthly Financial Report Components

Report Component	Content
Income Statement (P&L)	Revenue and expenditure vs. budget — current month and year-to-date — by program and organization-wide
Balance Sheet	Assets, liabilities, and net assets as at month-end
Cash Flow Statement	Cash inflows and outflows; 30-day projected cash position
Variance Analysis	Written explanation of all line items with variance greater than 10% or \$1,000 (whichever is greater)
Accounts Receivable Aging	All outstanding invoices by age; invoices over 60 days flagged in red
Accounts Payable Summary	Outstanding liabilities; invoices over 60 days highlighted
Budget vs. Actual by Program	Line-by-line comparison for each Program Manager
Payroll Summary	Total payroll cost by program vs. budget
Youth Personal Funds Summary	Balance of all youth trust accounts at month-end

6.2 Variance Response Protocol

Variance Level	Required Response	Timeline
Favourable over 10%	Finance Manager investigates; determines if re-forecast is warranted; documents in monthly report	Within monthly report
Unfavourable 5–10%	PM notifies ED in writing with explanation and proposed corrective action	Within 5 business days of receiving the monthly report
Unfavourable over 10% or projected year-end shortfall	Immediate PM-ED review; corrective action plan presented to Finance and Audit Committee	ED notified within 48 hours; Committee at next meeting
Projected year-end deficit in any program	Board notification; ED presents remediation plan within 30 days	Board notified within 5 business days of identification
Material fraud or error discovered	Finance Manager and ED notified immediately; Finance and Audit Committee within 24 hours	Same day as discovery

7. REVENUE MANAGEMENT AND MCFD/CLBC CONTRACT FUNDING

7.1 Revenue Sources

Revenue Source	Description	Invoicing / Collection
MCFD Block Funding	Monthly funding per licensed bed or per-diem for children in care	Invoiced monthly per contract schedule; ED certifies before submission; follow up within 30 days of expected payment
MCFD Fee-for-Service	Per-diem or per-service funding for specific placements	Invoiced monthly with supporting placement documentation; ED certifies
CLBC Contract Funding	Monthly funding for adult community living services	Invoiced monthly per CLBC terms; reconciled quarterly
Grants — Provincial / Federal	Specific project or program grants	Per grant agreement; advance drawdowns or reimbursements as specified
Community Fundraising	Donations, events, campaigns	Receipted per CRA within 30 days; Board approves acceptance over \$10,000
Investment Income	Interest, money market, endowment	Recorded as earned; reinvested or allocated per Board resolution
Other Revenue	Rental income, recoveries, miscellaneous	Recorded as earned; all funder recoveries documented

7.2 MCFD Contract — Financial Obligations

- Monthly invoices submitted per the format and schedule in the service contract with all required supporting documentation
- ED certifies all MCFD invoices before submission — certification represents that the services were delivered as described
- MCFD funding used only for purposes specified in the service contract; any unspent surplus handled per contract terms
- Annual financial report to MCFD prepared in MCFD format and submitted by the contractual deadline
- Any change to service scope, capacity, or staffing model that could affect contract funding is disclosed to the MCFD Contract Manager before implementation
- All MCFD-funded financial records maintained separately, retrievably, and made available to MCFD on request within 5 business days

7.3 Donations and Charitable Receipting

- Official donation receipts issued for all eligible cash and in-kind donations per the Income Tax Act within 30 days
- All receipts sequentially numbered; copy retained 7 years
- In-kind donations recorded at fair market value with documented valuation methodology
- Fundraising activities comply with applicable BC and federal fundraising regulations

8. ACCOUNTS RECEIVABLE, INVOICING, AND COLLECTIONS

8.1 Invoicing

- All invoices issued within 5 business days of the billing period closing
- Invoices are sequentially numbered, dated, and include: payee details, invoice number, service description, period covered, amount, GST/HST where applicable, and payment instructions
- Every invoice retained in the accounting system; copies to program files for MCFD-related invoices

8.2 Accounts Receivable Monitoring and Collections Protocol

Invoice Age	Required Action	Responsible
0–30 days	Standard monitoring; no action unless contract terms specify earlier payment	Finance Manager
31–60 days	Finance Manager sends written reminder to payee; contact documented in AR log	Finance Manager
61–90 days	Finance Manager escalates to ED; formal written demand sent; payee contacted by phone; contact documented with date, person reached, outcome	Finance Manager + ED
Over 90 days	ED determines collection action: negotiation, formal demand letter, or referral to legal counsel; Finance and Audit Committee informed	ED + Finance Manager
Over 90 days — government funder (MCFD/CLBC)	ED contacts MCFD/CLBC Contract Manager directly; Finance and Audit Committee informed; Board notified if not resolved in 60 days	ED — escalate immediately for government funders
Over 120 days — non-government	ED and Finance and Audit Committee determine: write-off or legal referral; Board approval required for write-off over \$2,500	ED + Finance Committee



8.3 Bad Debt Write-Off

- Write-offs up to \$2,500: Executive Director approval
- Write-offs above \$2,500: Board Finance Committee approval
- All write-off decisions documented with complete collection history and rationale
- Written-off amounts reported separately in financial statements — never netted against revenue



PART C — EXPENDITURE MANAGEMENT

9. PURCHASING AND PROCUREMENT POLICY

9.1 Procurement Thresholds

Purchase Value	Procurement Requirement
Under \$500	Direct purchase by authorized staff — retain receipt; no quotes required
\$500 – \$2,499	One written quote or price check; Program Manager authorization; receipt retained
\$2,500 – \$9,999	Two written quotes required; Executive Director authorization; quotes on file
\$10,000 – \$24,999	Three written quotes required; documented quote comparison; ED authorization; Finance Manager files
\$25,000 and above	Formal competitive tender or RFP process; Finance and Audit Committee review; Board authorization
Sole-source over \$5,000	Written sole-source justification; ED approval; documented in purchasing file

9.2 Vendor Selection and Anti-Fraud Verification

- Vendor selection based on best overall value — price, quality, reliability, service, and alignment with organizational values
- Preference for local and Indigenous-owned suppliers where quality and price are competitive
- New vendor verification before first payment: Finance Manager calls the vendor at a publicly listed telephone number (not a number provided only by email or invoice) to confirm: legal name, address, banking details, and contact person. This call is documented with the date, number called, and person reached.
- Vendor banking information changes: Finance Manager calls vendor at the previously verified telephone number; receives written request; ED countersigns the change in the accounting system. Prevents Business Email Compromise (BEC) fraud.
- No vendor selected based on a personal relationship with a staff member or director — any such relationship must be disclosed and the affected person excluded from the selection decision

9.3 Prohibited Purchases



- Personal items for staff or directors unless authorized as a staff benefit per the HR Policy Binder
- Gifts or entertainment for MCFD, CLBC, government employees, or politicians
- Charitable donations without Board approval; political contributions of any kind
- Alcohol, cannabis, or tobacco except where specifically authorized in writing by the ED for a designated organizational event

9.4 Emergency Purchases

Where an urgent purchase is required to protect the safety of children or youth in care, an authorized staff member may purchase and obtain after-the-fact approval from the next available authorized signatory. Emergency purchases are documented with an explanation of the urgency and submitted for approval within 2 business days.

10. ACCOUNTS PAYABLE AND PAYMENT PROCESSING

10.1 Invoice Processing Steps

Step	Action / Responsible
1. Invoice received	Directed to Finance Manager on receipt; logged in accounting system same day
2. Coding	Finance Manager codes to appropriate program, cost centre, and account code
3. Approval routing	Finance Manager routes to appropriate budget holder for approval
4. Budget holder review	Verifies: goods or services received; amount correct; within budget; approves in writing or through the accounting system
5. Payment processing	Finance Manager processes within vendor's standard payment terms (typically net 30); EFT preferred
6. Recording	Payment recorded against original invoice; invoice marked paid with payment date and reference

10.2 Payment Methods and Controls

Method	When Used	Controls
EFT (Electronic Funds Transfer)	Preferred for recurring and larger payments	Two-factor authorization: Finance Manager inputs; ED or second authorized signatory approves



		electronically before release
Cheque	Vendors without EFT; payments requiring physical signatures	Pre-numbered; dual signatures for amounts over \$5,000; cheque register; blank cheques in locked storage; never pre-signed; never payable to 'Cash'
Corporate Credit Card	Authorized cardholders — routine business purchases under card limit	See Section 11
Petty Cash	Small incidental expenses under \$100	See Section 13
Online Bill Pay	Utility bills and recurring subscriptions	Same authorization as EFT; Finance Manager sets up; ED approves new recurring payments

10.3 Bank Reconciliation

- All bank accounts reconciled monthly within 15 business days of month-end
- Finance Manager prepares; Executive Director reviews and approves
- Unreconciled items over 30 days are investigated and explained in writing
- Retained for 7 years

11. CORPORATE CREDIT CARDS AND EXPENSE REIMBURSEMENTS

11.1 Corporate Credit Cards

- Cards issued only to the ED, Finance Manager, and positions specifically authorized by the Board
- Used exclusively for legitimate organizational expenses — never for personal purchases
- Credit limits set by the Board Finance Committee; reviewed annually
- Cardholder submits monthly expense report with all original receipts within 10 business days of month-end
- Finance Manager reconciles credit card statements against receipts; unexplained charges flagged to ED immediately
- Unauthorized or personal charges repaid by cardholder within 10 business days
- Lost or stolen card: immediately report to the issuing bank and Finance Manager

11.2 Staff Expense Reimbursements

- Claims submitted within 30 days with original receipts on the Expense Reimbursement Form



- Late claims (over 30 days) require ED approval
- Approved by employee's direct supervisor; ED's own claims approved by Board Chair
- Mileage reimbursed at the current CRA per-kilometre rate

12. TRAVEL POLICY

12.1 Authorization

All organizational travel must be pre-approved by the employee's supervisor before commitments are made. The ED approves their own travel with Board Chair notification for any travel over \$1,000. Travel is authorized only where the business purpose cannot be accomplished by video or phone.

12.2 Travel Expense Standards

Expense	Policy
Airfare	Economy class for all domestic travel; business class only with ED written approval and documented medical necessity or flight over 6 hours
Accommodation	Reasonable hotel at standard business rate; mid-range properties; premium requires ED approval
Ground transportation	Most economical appropriate option; personal vehicle at CRA per-kilometre rate
Meals — solo business travel	Actual reasonable expenses with receipts; per-diem option: \$75/day (breakfast \$15, lunch \$20, dinner \$40)
Meals — client or team business	Requires pre-approval; business purpose on receipt; alcohol only if ED has pre-approved
Conference registration	Pre-approved; registered in advance for early rates where possible
Advance travel funds	Available on request for confirmed travel; reconciled within 5 business days of return
International travel	All international travel requires ED and Board Chair approval; estimated cost submitted before booking

12.3 Reimbursement Process

- Travel Expense Report submitted within 10 business days of return
- All receipts attached; receipts over \$25 required for all expense categories



- Approved by supervisor; Finance Manager processes within the next regular reimbursement cycle

13. PETTY CASH MANAGEMENT

13.1 Petty Cash Funds

Location	Float Amount	Custodian
Each operational facility	\$300 maximum	Program Coordinator or designate appointed in writing by PM
Administrative office	\$500 maximum	Finance Manager or designate

13.2 Permitted Uses and Controls

- Permitted: incidental program supplies under \$100; minor emergency purchases for youth; postage and minor office supplies under \$50
- Prohibited: reimbursing larger expenses that should go through the expense claim process; making change; cashing personal cheques; advancing loans to staff under any circumstances
- Every disbursement: petty cash voucher signed by recipient and Custodian; receipts attached; Cash + Vouchers = Original Fund Balance at all times
- Replenishment: when fund falls below \$100 (facility) or \$150 (office), Custodian submits all vouchers to Finance Manager for reimbursement
- Monthly reconciliation by someone other than the Custodian; any variance reported to Finance Manager and investigated immediately

14. YOUTH PERSONAL FUNDS AND TRUST ACCOUNTS

NEW in v2.0. CFCSA s.70(1)(g) — Every child in care has the right to receive and use a reasonable allowance. Youth personal funds are the youth's own property, not organizational funds. Misuse constitutes financial misconduct and a violation of CFCSA s.70.

14.1 Policy Statement

Every child and youth in the care of Evergreen Community Care has the right to receive and use a reasonable personal allowance (CFCSA s.70(1)(g)). Allowances and other personal funds belonging to a youth are the youth's own property — not organizational funds — and are never withheld as a consequence or used for organizational purposes under any circumstances. Any misuse of youth personal funds is a violation of CFCSA s.70 and constitutes financial misconduct subject to immediate suspension and investigation.



14.2 Allowances

Element	Standard
Allowance amount	Per MCFD per-diem guidelines or as specified in the service agreement; confirmed with MCFD social worker at admission
Payment frequency	Consistent with youth's age, maturity, and ISP; typically weekly; never held for more than 14 days
Payment method	Cash to youth with signed receipt; or held in trust account with youth's documented consent
Record	Each allowance payment recorded: date, amount, youth signature or initials on the Allowance Log
Withholding	NEVER PERMITTED. Allowances are a legal right under CFCSA s.70(1)(g). No behaviour, program rule, or circumstance justifies withholding an allowance. Any staff member who withholds an allowance is subject to immediate disciplinary action and the situation treated as a rights violation.

14.3 Youth Trust Accounts

- Youth personal funds exceeding \$200 (birthday money, employment income, etc.) are held in a separate trust account or sub-account identified by the youth's name and MCFD file number
- Youth may access trust funds at any reasonable time consistent with their capacity and ISP; the PC facilitates access
- All deposits and withdrawals recorded in the Youth Personal Funds Ledger maintained by the Program Coordinator
- Monthly trust account balance provided to the youth and to the MCFD social worker on request
- Disbursements above \$50: require youth's written request and PC sign-off.
Disbursements above \$200: require PM authorization.

14.4 Youth Personal Funds Ledger — Required Fields

Field	Description
Youth name and MCFD file number	Identifier on each page
Date	Date of each transaction
Opening balance	Balance brought forward from prior period
Deposit / receipt	Amount, source, received by whom



Disbursement / payment	Amount, purpose, authorized by whom, youth signature
Closing balance	Balance at end of period
Custodian signature	PC or designate signs each monthly reconciliation

14.5 Oversight and Audit

- PM reviews the Youth Personal Funds Ledger for each youth monthly
- Finance Manager receives a consolidated Youth Personal Funds Summary from each facility monthly; reconciles against trust account bank balances
- Any discrepancy between ledger and bank balance: investigated within 48 hours; unexplained shortfall reported to ED and MCFD social worker immediately
- Youth personal funds included in the bi-annual ISR file audit (PM Manual Appendix D)
- Youth personal funds are never commingled with organizational operating funds under any circumstances

15. CAPITAL ASSETS AND ASSET MANAGEMENT

15.1 Capital Asset Policy

A capital asset is any single item costing \$1,000 or more with a useful life exceeding one year. Capital assets are capitalized on the balance sheet and depreciated over their estimated useful lives. Items below \$1,000 are expensed in the period of purchase.

15.2 Depreciation Schedule

Asset Class	Method	Estimated Useful Life
Office furniture and fixtures	Straight-line	5–10 years
Computer hardware	Straight-line	3–5 years
Software — purchased licences	Straight-line	3–5 years
Vehicles	Straight-line	5 years or 200,000 km
Facility equipment (appliances, etc.)	Straight-line	7–10 years
Leasehold improvements	Straight-line	Shorter of lease term or 10 years



15.3 Asset Register, Inventory, and Disposal

- Finance Manager maintains a capital asset register: description, purchase date, original cost, accumulated depreciation, book value, physical location, and assigned custodian
- Register reconciled against the general ledger annually; physical inventory of all capital assets conducted annually
- Disposal: ED approval for book value under \$5,000; Board approval for items over \$5,000; proceeds recorded as revenue; asset removed from register
- Assets funded through MCFD or CLBC contracts: Finance Manager confirms with contract terms whether funder approval is required before disposal



PART D — PAYROLL AND EMPLOYEE COMPENSATION

16. PAYROLL ADMINISTRATION

16.1 Payroll Cycle and Processing

Element	Standard
Pay frequency	Bi-weekly — every two weeks
Pay day	Every second Friday; preceding Thursday if Friday is a statutory holiday
Pay period	Up to 16 consecutive days per BC ESA s.17
Method	Direct deposit to employee's nominated bank account
Banking changes	Employee submits in writing to Finance Manager; Finance Manager verifies by calling the employee at their established work telephone number before processing

16.2 Payroll Processing Steps

Step	Action / Responsible
1. Timesheets submitted	Approved timesheets submitted to Finance Manager by the Wednesday before pay week
2. Hours entered	Finance Manager enters or imports approved hours into the payroll system
3. Calculation review	Finance Manager reviews: regular hours, overtime, shift premiums, stat holiday pay, sick leave, and all other ESA entitlements
4. ED authorization	Finance Manager prepares payroll summary; ED reviews and authorizes before processing
5. Processing	Upon ED authorization, payroll processed; direct deposits initiated
6. Pay stubs	Generated and distributed electronically on pay day; all ESA-required information included
7. Journal entry	Payroll journal entry posted to accounting system
8. Monthly cross-check	Finance Manager cross-references payroll against HR employee list; any discrepancy resolved before next payroll run



16.3 Payroll Changes and Final Pay

- All payroll changes (new hires, terminations, rate changes, banking changes, garnishments) submitted to Finance Manager in writing by HR, signed by the ED, before taking effect
- Terminated employees receive final pay within BC ESA requirements: 48 hours if employer terminates; 6 days if employee resigns
- Off-cycle payments require ED authorization; documented with reason; reported in the next regular payroll reconciliation
- Every pay stub includes at minimum per BC ESA: pay period dates; regular and overtime hours; rate of pay; gross earnings; all deductions itemized; net pay

17. TIMEKEEPING AND TIMESHEET APPROVAL

17.1 Timekeeping Requirement

All employees record their actual hours worked. Timekeeping is a BC ESA legal requirement and is the basis for calculating wages, overtime, and statutory holiday pay. Inaccurate timekeeping — whether over-reporting or under-reporting — is a serious breach of employment obligations subject to disciplinary action.

17.2 Approval Process

Step	Action
1. Employee records hours	Each shift recorded at shift end; actual hours worked, not scheduled hours
2. Shift Lead or PC review	Confirms shift hours; documents any variation from schedule
3. PM final approval	Program Manager provides final approval for all timesheets; approves overtime documentation
4. Finance Manager	Flags any irregularities (missing shifts, overtime without approval, unusual patterns) to PM before processing payroll

17.3 Overtime

- Overtime worked must be pre-authorized by the supervisor except in genuine emergencies
- Emergency overtime documented with written explanation within 48 hours



- Time banking arrangements per ESA s.42: time bank balance tracked separately; reported on each affected employee's pay stub

18. STATUTORY DEDUCTIONS AND REMITTANCES

18.1 Required Deductions

Deduction	Legislation	Rate	Remittance Deadline
Canada Pension Plan (CPP) — employee portion	Canada Pension Plan Act	Current CRA rate	15th of following month
Employment Insurance (EI) — employee portion	Employment Insurance Act	Current CRA rate	15th of following month
Federal income tax	Income Tax Act	Per CRA withholding tables	15th of following month
Provincial income tax (BC)	Income Tax Act / BC	Per CRA BC tables	15th of following month
BC Employee Health Tax (EHT)	Employer Health Tax Act (BC)	Current BC rate if above threshold	Per BC registration

18.2 Employer Contributions and Remittance Controls

- Employer portions of CPP and EI paid as required by law
- WorkSafeBC employer assessment premiums paid per WorkSafeBC assessment schedule; Annual Payroll Report filed by January 15 each year
- Employer benefit premiums (extended health, dental, group life, EFAP) paid per benefits plan agreement
- Finance Manager monitors all remittance deadlines; alerts ED immediately if any remittance is at risk of being late — late CRA remittances attract penalties and interest
- T4 slips issued to all employees by February 28; T4 Summary filed by February 28; ED reviews and approves before filing
- Record of Employment (ROE) issued within 5 calendar days of any interruption of earnings

19. EMPLOYEE BENEFITS ADMINISTRATION

EXPANDED in v2.0 to provide the full benefits administration process, consistent with the HR Policy Binder (ECC-HR-POL-2026-001) Section 8.



19.1 Benefits Plans Administered

Benefit	Plan Type	Finance Administration
Extended health and dental	Group benefit plan — BC Benefits Carrier (specify)	Monthly premium reconciliation; employer and employee portions tracked separately; changes processed within 5 business days of HR written notification
Group life insurance	Group benefit plan — BC Benefits Carrier (specify)	Included in monthly group benefits invoice; life event changes processed within 5 business days of HR notification
Employee and Family Assistance Program (EFAP)	External EAP provider (specify)	Annual contract; invoice paid annually; usage reports received confidentially by HR only
WorkSafeBC	Mandatory employer registration	Premiums assessed quarterly or annually; Annual Payroll Report filed January 15; claims managed in consultation with HR
BC Employee Health Tax (EHT)	BC Ministry of Finance (where applicable)	Finance Manager files quarterly or annual return per BC registration

19.2 Benefits Administration Process

- HR notifies Finance Manager in writing of all changes affecting benefits: new enrollments, terminations, life events, leave of absence, return to work
- Finance Manager processes all changes within 5 business days of written HR notification
- Monthly benefits invoices reconciled by Finance Manager against the HR-maintained enrollment list; any discrepancy resolved within 10 business days
- Terminated employees' benefits coverage terminates as specified in the plan documents and the HR Policy Binder; Finance Manager confirms termination date with HR before processing
- Annual benefits plan renewal: Finance Manager compares renewal quotes against current plan; rate increase over 5% brought to ED for review; Finance and Audit Committee informed of any material change in benefits costs
- Finance Manager keeps master copies of all current plan documents; HR provides employee booklets to each employee at enrollment



PART E — FINANCIAL REPORTING AND AUDIT

20. INTERNAL FINANCIAL REPORTING

20.1 Monthly Management Accounts

The Finance Manager prepares and distributes monthly management accounts within 15 business days of each month-end. These accounts are the primary internal financial monitoring tool. Distribution: Program Managers receive their program-level report; the Executive Director receives full organizational management accounts; Finance and Audit Committee receives full statements quarterly.

Report Component	Content
Income Statement (P&L)	Revenue and expenditure vs. budget — current month and year-to-date — by program and organization-wide
Balance Sheet	Assets, liabilities, and net assets as at month-end
Cash Flow Statement	Cash inflows and outflows; 30-day projected cash position
Variance Analysis	Written explanation of all line items with variance greater than 10% or \$1,000 (whichever is greater)
Accounts Receivable Aging	All outstanding invoices by age; invoices over 60 days flagged in red
Accounts Payable Summary	Outstanding liabilities; invoices over 60 days highlighted
Budget vs. Actual by Program	Line-by-line comparison for each Program Manager
Payroll Summary	Total payroll cost by program vs. budget
Youth Personal Funds Summary	Balance of all youth trust accounts at month-end

20.2 Quarterly Board Report

The Executive Director presents a quarterly financial summary to the Board of Directors, including: cumulative year-to-date results versus budget; cash position; any material variances and management response; updated year-end forecast; any material financial risks or emerging issues. The Finance and Audit Committee receives full financial statements quarterly and reviews them in detail before the Board presentation.



21. EXTERNAL AND GOVERNMENT REPORTING

21.1 MCFD Annual Financial Report

- Prepared in the format specified by MCFD; submitted by the contractual deadline
- Finance Manager prepares; ED reviews, certifies, and approves; Board approves (or Finance and Audit Committee approves on behalf of the Board where timing is constrained)
- Accurately reflects all MCFD-funded revenue and expenditures incurred in delivering MCFD-contracted services
- Any surplus of MCFD funding over allowable expenditures is disclosed and addressed per contract terms

21.2 Annual Statutory Filings

Filing	Authority	Deadline	Prepared By
T3010 — Registered Charity Information Return (if charity)	Income Tax Act	6 months after fiscal year-end	Finance Manager
T2 — Corporation Income Tax Return (if incorporated)	Income Tax Act	6 months after fiscal year-end	Finance Manager / Accountant
BC Societies Annual Report (if Society)	BC Society Act	2 months after fiscal year-end	Executive Director
WorkSafeBC Annual Payroll Report	Workers Compensation Act	January 15	Finance Manager
GST/HST Returns (if registered)	Excise Tax Act	Per registration period	Finance Manager
BC Employer Health Tax Annual Return (if applicable)	Employer Health Tax Act (BC)	March 31	Finance Manager
T4 slips and T4 Summary	Income Tax Act	February 28	Finance Manager; ED approves
MCFD Annual Financial Report	Contracted Service Agreement	Per contract deadline	Finance Manager; ED certifies; Board approves
CLBC Annual Reconciliation	CLBC Service Terms	Per CLBC schedule	Finance Manager

22. ANNUAL FINANCIAL STATEMENTS AND EXTERNAL AUDIT

22.1 Annual Financial Statements



Evergreen Community Care prepares annual audited financial statements within 120 days of fiscal year-end. The statements include: Statement of Financial Position (Balance Sheet); Statement of Operations (Income Statement); Statement of Changes in Net Assets; Statement of Cash Flows; and Notes to the Financial Statements.

22.2 External Auditor

- Board of Directors appoints an independent external auditor annually on the recommendation of the Finance and Audit Committee
- Auditor is a licensed CPA firm independent of the organization — no member of the audit firm may be a director, officer, or employee of Evergreen Community Care
- Auditor reports directly to the Board, not to the Executive Director
- Finance and Audit Committee meets with the auditor without management present at least once per audit cycle

22.3 Audit Process

Audit Phase	Finance Manager / ED Responsibilities
Preparation	Finance Manager prepares year-end audit file, trial balance, and all requested documentation; complete year-end working papers provided at engagement commencement
Fieldwork	Finance Manager responds to all auditor requests within 2 business days; ED provides written management representations as required; full cooperation with all audit procedures
Draft management letter	Finance Manager reviews draft; prepares written management response to all findings; ED approves; response submitted to auditor within 30 days
Final statements	Auditor issues final statements; presents findings to Finance and Audit Committee and then to the Board
Board approval	Board approves audited financial statements at the AGM or by resolution
Filing	Finance Manager files with MCFD, CLBC, CRA, and any other required party within required timelines

22.4 Management Letter Responses

All material weaknesses or significant deficiencies identified in the auditor's management letter are addressed within 90 days. Finance Manager prepares a written corrective action plan approved by the ED and reported to the Finance and Audit Committee at its next meeting. The Committee confirms completion at the following meeting.



23. FINANCIAL RECORDS RETENTION

Record Type	Retention Period	Storage
General ledger, journals, trial balances	Permanent	Accounting system + secure backup
Annual financial statements (audited)	Permanent	Physical + digital
Source documents — invoices, receipts, purchase orders	7 years	Physical or scanned digital; organized by fiscal year
Bank statements and bank reconciliations	7 years	Physical or digital
Payroll records — pay registers, timesheets	7 years minimum (ESA: 2 years; CRA: 6 years; organizational standard: 7 years)	Payroll system + secure backup
T4 slips and T4 Summaries	7 years	Physical + digital
Employee expense claims and credit card statements	7 years	Physical or digital
Petty cash vouchers	7 years	Physical or scanned digital
Youth Personal Funds Ledger and trust account records	Duration of youth's placement + 7 years; minimum 10 years	Physical + digital; stored in youth ISR file
MCFD contract documents and amendments	Duration of contract + 7 years	Physical + digital
CLBC contract documents and amendments	Duration of contract + 7 years	Physical + digital
Grant agreements and financial reports	Duration of grant + 7 years	Physical + digital
CRA correspondence	Permanent	Physical + digital



and rulings		
Donation records and official receipts	7 years after last donation	Physical or digital
Insurance policies and claims	Duration + 7 years	Physical + digital
Capital asset records	Duration of asset life + 7 years	Accounting system + physical
Board financial approvals and minutes	Permanent	Physical + digital; locked storage

Records scheduled for destruction are reviewed by the Finance Manager and Executive Director before destruction. Records subject to an ongoing audit, investigation, legal matter, or MCFD/CLBC review are retained indefinitely until the matter is resolved. Financial records are destroyed securely — cross-cut shredded or permanently deleted from all storage locations.



PART F — FINANCIAL CONTROLS AND RISK

24. INTERNAL FINANCIAL CONTROLS

24.1 Purpose

Internal controls protect organizational assets from loss, ensure financial records are accurate and complete, prevent and detect fraud and error, and ensure compliance with applicable laws and contractual obligations. Strong internal controls protect the organization, the staff who work within it, and the children and youth it serves.

24.2 Core Control Framework

Control	How Applied at Evergreen Community Care
Segregation of Duties	The person who authorizes a purchase is different from the person who processes payment. The person who handles cash is different from the person who reconciles the bank account. The person who prepares payroll is different from the person who approves it. These separations are maintained consistently.
Authorization Controls	Every transaction requires documented authorization from the appropriate signing authority before processing (Section 4). Verbal authorizations are never sufficient.
Physical Safeguards	Cheques, corporate cards, petty cash, and financial system access are restricted to authorized personnel. Youth personal funds are separately locked from organizational petty cash. Physical assets are inventoried and locked.
Reconciliation Controls	All bank accounts reconciled monthly. Payroll cross-checked against HR employee list monthly. Accounts receivable reviewed for accuracy monthly. Youth personal funds ledger reconciled against trust account balances monthly.
Documentation Controls	Every transaction supported by a source document (invoice, receipt, signed approval). Documents retained per Section 23. Any missing documentation investigated before payment is processed.
Access Controls	Accounting system access limited to authorized personnel by role. Unique logins only — shared logins prohibited. Access reviewed annually and revoked on termination or role change.
Management Review	ED reviews monthly financial reports. Finance and Audit Committee reviews full quarterly statements. External auditor provides annual independent assurance.
Rotation of Duties	Where staffing permits, financial tasks are rotated or cross-trained to prevent over-reliance on any individual and to reduce the risk of



	concealed misconduct.
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24.3 Control Exceptions Requiring Immediate Escalation

- Any transaction that bypasses the signing authority matrix in Section 4
- Payments made without supporting documentation
- Bank reconciliation items unresolved after 30 days
- Missing, altered, or destroyed financial documents
- Unauthorized changes to vendor banking information in the accounting system
- Any request by any staff member or director to override a financial control
- Youth personal funds ledger balance does not reconcile with the trust account bank balance

25. FRAUD PREVENTION, DETECTION, AND VENDOR VERIFICATION

25.1 Zero Tolerance Policy

Evergreen Community Care has zero tolerance for fraud, theft, or financial misconduct involving organizational assets, including youth personal funds. Fraud includes any intentional deception for financial gain — whether by a staff member, volunteer, director, vendor, or any other person — at the expense of the organization, any youth in care, or any funder.

25.2 What Constitutes Financial Misconduct

- Theft of organizational funds, assets, or property
- Theft of or unauthorized use of a youth's personal funds
- Falsifying financial records, invoices, receipts, expense claims, or timesheets
- Unauthorized use of organizational credit cards or accounts
- Processing fictitious vendors or phantom employee payments
- Accepting kickbacks, bribes, or undisclosed benefits from vendors in any form
- Intentionally circumventing signing authority controls — including splitting transactions to stay below thresholds
- Misappropriation of charitable donations or grant funds
- Misuse of MCFD or CLBC funding for purposes not authorized by contract

25.3 Prevention — Including Vendor Verification Anti-Fraud Controls

Control	Implementation
Segregation of duties	Maintained as described in Section 24; most critical for AP, payroll, and cash handling



New vendor verification before first payment	Finance Manager calls the vendor at a publicly listed telephone number — NOT a number provided only in an email or invoice — to verbally confirm: legal name, address, banking details, and contact person. This call is documented: date, number called, person spoken with. EFT payment not processed until verification complete.
Vendor banking change verification	When any existing vendor requests a change to their banking information in the accounting system: Finance Manager calls the vendor at the previously verified telephone number (not the number in the email requesting the change); receives written request from vendor with new details; ED countersigns the change in the system. This protocol prevents Business Email Compromise (BEC) — the highest-value fraud risk for organizations in our sector.
Approved vendor list	Finance Manager maintains; new vendors require ED approval; unusual or one-time vendors receive heightened scrutiny
Annual external audit	Independent auditor tests controls and reviews transactions annually
Staff fraud awareness training	Finance staff, PMs, and PCs trained annually to recognize fraud red flags: unexpected vendor charge increases; invoices without adequate detail; requests to bypass normal approvals; pressure to process payments quickly
Youth personal funds audit	Finance Manager reconciles youth trust account balances monthly; any discrepancy reported to ED and MCFD within 48 hours

25.4 Responding to Suspected Fraud

- Any person who suspects fraud or financial misconduct reports it immediately and confidentially to the Executive Director
- If the suspicion involves the Executive Director, report to the Board Chair directly — bypassing all staff
- ED (or Board Chair) determines whether an immediate investigation is warranted; external advisors or legal counsel may be engaged
- Financial system access for the suspected individual is suspended during the investigation
- The organization reports to police where criminal activity is suspected
- MCFD and CLBC are notified where the suspected misconduct involves contracted funds or youth personal funds
- No person who reports suspected fraud in good faith will face any retaliation; retaliation is itself grounds for immediate disciplinary action

26. WHISTLEBLOWER POLICY — FINANCIAL MISCONDUCT

26.1 Purpose



Evergreen Community Care is committed to creating an environment where staff, volunteers, and directors feel safe reporting financial misconduct without fear of retaliation. This policy establishes a clear, confidential reporting mechanism for financial concerns.

26.2 Reporting Channels

Concern Involves	Report To
Any staff member or vendor	Finance Manager (in writing or in person)
Finance Manager	Executive Director (in writing or in person)
Executive Director	Board Chair directly — bypassing all staff
A Board member	Board Chair or another Board Director not involved
Senior leadership or the organization as a whole	External: CRA, MCFD Contract Manager, BC Registry, WorkSafeBC, or legal counsel

26.3 Reporter Protections

- Reports made in good faith are protected — the reporter will not face demotion, discipline, termination, or any adverse action
- Reporter identity is kept confidential to the greatest extent possible during any investigation
- If the reporter believes retaliation has occurred, they may report to the Board Chair or to an external authority
- Deliberately making a false report of financial misconduct, knowing it to be false, is itself grounds for discipline up to termination

27. INSURANCE REQUIREMENTS

MCFD Standard H.1.10 — the program maintains property, vehicle, and liability insurance adequate and appropriate for the program, including casual support staff, students, and volunteers.

27.1 Required Coverages

Insurance Type	Minimum Coverage	Key Condition
Commercial General Liability (CGL)	\$5,000,000 per occurrence	Name MCFD as additional insured where required by contract
Professional Liability / E&O	\$2,000,000 per occurrence	Covers claims arising from professional service delivery



Directors and Officers (D&O)	\$2,000,000	Protects Board members and officers from personal liability
Property and Contents	Replacement cost	All organizational property and equipment at all facilities
Vehicle Insurance	ICBC third-party liability minimum \$1,000,000 per vehicle	All vehicles transporting children confirmed annually; driver abstracts on file for all drivers
Workers Compensation (WorkSafeBC)	Registered as employer; assessments paid on schedule	All employees; eligible contractors and students covered
Crime / Fidelity Insurance	\$100,000	Covers employee theft and internal financial fraud
Cyber Liability Insurance	\$1,000,000	Covers data breach, ransomware, and cybersecurity incidents; notification costs included

27.2 Insurance Management

- All policies reviewed annually by Finance Manager at least 60 days before renewal
- Finance Manager maintains an Insurance Schedule listing all policies, coverage amounts, renewal dates, and premiums
- Certificate of Insurance provided to MCFD and CLBC annually and on request
- Claims reported to insurer promptly per each policy's claims reporting timeframe; Finance Manager manages; ED notified of any claim immediately
- Material changes to operations, programs, vehicles, or property reported to the insurer as required by the policy

28. CONFLICT OF INTEREST — FINANCIAL

28.1 Policy Statement

A conflict of interest occurs when a person's personal financial interests, or those of their immediate family, could influence or appear to influence their exercise of financial authority on behalf of Evergreen Community Care. The appearance of a conflict is treated the same as an actual conflict.



28.2 Disclosure and Management

- All directors, officers, and employees with financial authority must disclose any actual, potential, or perceived conflict of interest to the Executive Director immediately upon becoming aware of it
- Directors disclose to the Board Chair; the Executive Director discloses to the Board Chair
- Disclosure must be in writing and is retained in the personnel or Board file
- A person with a conflict recuses themselves from the decision — they do not vote, advocate, participate, or provide information to the decision-makers
- The recusal is documented in meeting minutes or the decision record
- Related party transactions are disclosed in the annual financial statements regardless of whether they represent a conflict

28.3 Examples Requiring Disclosure

- A staff member approves payment to a company they own, co-own, or have a financial interest in
- A director approves a contract with a business where they or a family member is employed
- An employee recommends a vendor from which they receive a referral fee
- The Executive Director approves their own expense claims above the authorized threshold



PART G — ADMINISTRATION, RECORDS, AND TECHNOLOGY

29. OFFICE AND ADMINISTRATIVE MANAGEMENT

29.1 Administrative Responsibilities

Effective administration supports the service mission by ensuring operational continuity, compliance with legal obligations, and the professional management of organizational information and assets. The Finance Manager and administrative staff share responsibility for the administrative systems described in this Part.

29.2 Office Supplies and Equipment

- Finance Manager or designated administrative staff oversees procurement of office supplies within the approved budget
- Inventory of major office equipment maintained as part of the capital asset register
- All organizational property — laptops, phones, vehicles, access cards — is for organizational use; personal use permitted only where specifically authorized

29.3 Facility Leases

- All property leases negotiated and signed by the ED, with Board approval for leases exceeding \$50,000 annually or 3 years in term
- Lease terms, renewal dates, and break clauses tracked by Finance Manager; reminders issued 6 months before any lease deadline
- Any significant modification to leased premises requires landlord consent per the lease terms and ED approval

29.4 Mail and Financial Instruments

- Incoming mail opened by Finance Manager or designate; all cheques and financial instruments logged and delivered to Finance Manager on the day received
- No cheques or financial instruments held in desks, filing cabinets, or locations other than the locked Finance Manager office

30. RECORDS MANAGEMENT AND FOIPPA

30.1 Corporate Records Retention

Record Type	Retention Period
Board minutes and	Permanent



resolutions	
Incorporation / Society registration documents	Permanent
Corporate bylaws and amendments	Permanent
Contracts and agreements (vendor, employment, lease)	Duration + 7 years
Insurance policies and claims	Duration + 7 years
HR personnel files	7 years after employment ends
General administrative correspondence	3–7 years (review annually)
Licensing documents (CCALA, MCFD)	Duration of licence + 7 years
MCFD monitoring visit reports and responses	7 years
JHSC minutes and inspection reports	7 years (OHS Reg. requirement)

30.2 FOIPPA — Privacy Obligations

- Personal information collected, used, or disclosed in administrative and financial operations is managed consistent with FOIPPA
- Personal information collected only for purposes directly related to organizational operations; not disclosed without consent or lawful authority
- Privacy Officer (Executive Director or designate) responds to FOIPPA access requests within 30 business days
- Privacy breaches: reported per the MCFD RC Policy Manual privacy breach response protocol; ED notified within 24 hours of any suspected breach

31. TECHNOLOGY, SYSTEMS, AND CYBERSECURITY POLICY

31.1 Policy Statement

Evergreen Community Care uses technology to improve operational efficiency while protecting the security of organizational and client information. Cybersecurity is treated as a program safety issue — a breach affecting the records of children and youth in care carries the same organizational gravity as any other critical incident.



31.2 Information Security Requirements

Requirement	Standard
Password authentication	Strong passwords on all organizational devices; automatic screen-lock after 5 minutes; no shared logins
Multi-factor authentication (MFA)	Required for all financial system access, organizational email, and cloud storage access
Device encryption	All organizational laptops and mobile devices must be encrypted; unencrypted devices must not contain client or financial data
Accounting system access	Unique user logins only; access reviewed and updated whenever a staff member is hired, transferred, or terminated; access list reviewed annually
Data backup	Organizational data backed up daily to secure off-site storage; backup integrity tested at minimum quarterly by Finance Manager
Software updates	Operating system and security patches applied within 30 days of release; Finance Manager coordinates with IT support
Acceptable use	Organizational technology is for business use; client information not transmitted via unsecured personal email or messaging; organizational accounts are organizational property

32. CYBERSECURITY INCIDENT RESPONSE

NEW in v2.0. This section reflects the increasing cybersecurity risk to social services organizations and the specific financial and reputational risk of a breach involving client records.

32.1 Types of Cybersecurity Incidents Requiring This Response

Incident Type	Description
Phishing attack	Email or text designed to steal credentials or install malware; often impersonates MCFD, CRA, banks, or vendors
Business Email Compromise (BEC)	Fraudulent email impersonating ED, Finance Manager, or vendor to redirect payments — the highest financial risk incident type for this organization
Ransomware	Malicious software encrypts organizational data and demands payment
Unauthorized system access	Staff or external party accesses systems or data they are not authorized to access



Data breach	Client or employee personal information accessed, disclosed, or stolen without authorization
Account takeover	Staff credentials compromised; attacker uses staff accounts to access or modify data

32.2 Incident Response Procedure — Six Steps

Step	Action	Responsible / Timeline
1. Identify and report	Any suspected incident — suspicious email, unexplained account change, ransomware message — reported to the Executive Director immediately. Do not delete or forward the suspicious communication.	Any staff member; same hour as identification
2. Contain	Finance Manager confirms whether the financial system has been compromised; temporarily suspends affected accounts; IT support engaged immediately; affected device isolated from the network	Finance Manager + IT Support; within 2 hours
3. Assess	ED and Finance Manager assess: which systems were accessed; what data may have been compromised; whether any financial transactions were initiated fraudulently	Within 24 hours
4. Notify	If personal information of youth, staff, or others may have been compromised: notify BC OIPC and affected individuals per FOIPPA. If MCFD or CLBC data is involved: notify Contract Managers. If financial fraud occurred: notify insurer (cyber liability) and police.	Per FOIPPA: within 72 hours of confirmed breach
5. Recover	Restore systems from clean backup; reset all compromised credentials; confirm financial system integrity before resuming financial operations	Within 48–72 hours where possible
6. Post-incident review	Root cause identified; corrective actions implemented; Finance and Audit Committee and Board informed of any material incident	Within 30 days

⚠ Business Email Compromise (BEC) is the highest-value fraud risk for social services organizations. NEVER change vendor banking details, redirect payroll deposits, or wire funds to a new account based solely on an email — regardless of how legitimate the email appears. Always verify by calling the person at their established work number before making any change to a payment destination.



33. CORRESPONDENCE AND COMMUNICATIONS

33.1 Official Correspondence

- All official correspondence on behalf of Evergreen Community Care uses the organizational letterhead
- Correspondence to MCFD, CLBC, and government bodies is signed by the Executive Director or authorized designate
- Copies of all significant correspondence (contracts, MCFD/CLBC letters, licensing correspondence, legal correspondence) retained per the records retention schedule

33.2 Email and Digital Communications

- Staff use organizational email for all business communications involving client information
- Email containing client personal information sent only to authorized recipients using secure channels
- Organizational accounts are organizational property; staff have no expectation of privacy on organizational systems

33.3 Media and Public Communications

- All media inquiries directed to the Executive Director — no staff member speaks to media on behalf of the organization without explicit ED authorization
- Staff personal social media conduct governed by the HR Policy Binder

PART H — GOVERNANCE AND OVERSIGHT

34. BOARD FINANCIAL OVERSIGHT AND GOVERNANCE

34.1 Board Financial Responsibilities

- Board holds fiduciary responsibility for the financial health and integrity of Evergreen Community Care
- Board approves: the annual budget; the audited annual financial statements; the appointment of the external auditor; all material financial commitments, contracts, and capital expenditures above the thresholds in Section 4
- Board reviews quarterly financial reports; holds the Executive Director accountable for financial results
- Auditor reports to the Board — not to management; Board meets with auditor without management at least once per audit cycle

34.2 Board Financial Governance Calendar

Board Finance Obligation	Timing
Review quarterly financial summary from ED	Each quarterly Board meeting
Review draft annual budget submitted by ED	4–6 weeks before fiscal year-end
Approve annual budget	2 weeks before fiscal year-end
Review and approve audited financial statements	Within 120 days of fiscal year-end; at AGM
Appoint external auditor for coming year	Annually — at AGM or first Board meeting of fiscal year, on Finance Committee recommendation
Receive annual QA summary including financial risk findings	Annually — Board meeting in July
Receive annual OHS performance report (including financial implications)	Annually — Board meeting in July
Review Finance and Administration Manual	Annually — July; on Finance and Audit Committee recommendation



35. FINANCE AND AUDIT COMMITTEE MANDATE

EXPANDED in v2.0 with a complete Finance and Audit Committee mandate, consistent with best practice for non-profit governance.

35.1 Purpose

The Finance and Audit Committee provides detailed financial oversight on behalf of the Board of Directors. The Committee does not replace the Board's ultimate fiduciary responsibility but performs the detailed review work that enables the Board to exercise informed governance.

35.2 Membership

Element	Standard
Composition	Minimum 3 Board members; majority must be independent of management; at least one member with financial literacy (CPA designation or equivalent experience)
Chair	Appointed by the Board; must be an independent Board member with financial literacy
Staff support	Finance Manager and Executive Director attend meetings in a support capacity; may be excused for specific agenda items (e.g., discussion of ED's own compensation or performance)
Meetings	Minimum quarterly; additional meetings as required (e.g., during the audit fieldwork period)
Reporting	Finance and Audit Committee Chair reports to the full Board at each Board meeting

35.3 Full Mandate — Areas of Responsibility

Area	Committee Responsibilities
Financial statements	Reviews monthly or quarterly financial statements; recommends approval of audited annual financial statements to the Board
Annual budget	Reviews draft budget; recommends the annual budget to the Board; reviews and approves mid-year budget amendments within delegated authority (\$5,000–\$24,999)
External audit	Oversees the entire external audit process; recommends appointment of the external auditor to the Board; meets with auditors without management at least once per audit cycle; reviews management letter and management response; confirms corrective actions are implemented



Internal controls	Reviews the internal controls framework annually; reviews any control failures or exceptions reported during the year; recommends improvements to management and the Board
This manual	Reviews the Finance and Administration Manual annually; recommends updates to the Board; ensures the manual reflects current legislation, MCFD/CLBC requirements, and best practice
Accounting policies	Reviews significant accounting policy decisions before implementation; ensures consistent application of GAAP
Risk management	Identifies and monitors key financial risks; reviews organizational insurance coverage annually; reviews cybersecurity risk profile annually
Conflict of interest	Reviews all conflict of interest disclosures involving financial matters; ensures proper recusal procedures are followed; annually reviews the conflict of interest policy
Whistleblower	Oversees the financial misconduct whistleblower process; receives all reports concerning the Executive Director; ensures reporter protections are maintained; reports findings to the full Board
Youth personal funds	Receives annual summary of youth personal funds balances and any discrepancies identified during the year; confirms Finance Manager reconciliation is current
Fraud prevention	Reviews fraud prevention measures annually; receives reports of any confirmed or suspected fraud; ensures investigations are properly conducted and findings are reported to the Board

35.4 Committee Delegated Authorities

- Approve budget reallocations between programs of \$5,000–\$24,999 (see Section 5.5)
- Approve write-offs of uncollectable receivables above \$2,500 (see Section 8.3)
- Recommend auditor appointment and audit fee to the Board
- Engage external advisors (legal, audit, cybersecurity) for specific matters, within the Finance and Audit Committee's approved annual budget

36. POLICY REVIEW AND APPROVAL

36.1 Annual Review

This Finance and Administration Manual is reviewed annually in July alongside the annual program review cycle. The Finance and Audit Committee reviews the manual and recommends any updates to the Board. The Board approves the updated manual. All staff with financial authority receive the updated manual and sign a written acknowledgement within 30 days of any revision.



36.2 Interim Updates

Where a legislative change, MCFD or CLBC requirement, CRA policy change, or audit finding requires an interim update to this manual between annual reviews, the Executive Director may implement the change with Finance and Audit Committee approval. The Board is informed at its next meeting.

36.3 Version History

Version	Date	Summary of Changes
1.0	July 1, 2026	Initial Finance and Administration Manual; Parts A–H; all MCFD Standard H.1 requirements addressed; signing authority matrix; budget development calendar; petty cash; payroll; accounts payable; insurance; conflict of interest; whistleblower; records retention; technology; FOIPPA; Board governance
2.0	July 1, 2026	Comprehensive Edition: added Section 14 (Youth Personal Funds and Trust Accounts — CFCSA s.70(1)(g)); expanded Section 19 (Employee Benefits Administration — full plan administration process); expanded Section 12 (Travel Policy — international travel, advance funds, full reimbursement process); added Section 5.5 (Budget Amendment authorization levels — three-tier table); expanded Section 8.2 (AR Collections protocol — six-step aging table with collection escalation); added Section 32 (Cybersecurity Incident Response — 6-step response protocol with BEC prevention controls); expanded Section 35 (Finance and Audit Committee — full mandate, membership, meeting requirements, delegated authorities); added vendor verification anti-fraud controls in Section 25.3 (new vendor verification call; banking change verification protocol); added MCFD H.1 compliance map in Section 2.3 (maps all 11 H.1.9 requirements to manual sections); added tbl5 signing authority matrix in Section 4.2; Youth Personal Funds added to monthly financial report components (Section 20.1)

37. SIGNATURES

This Finance and Administration Manual v2.0 has been reviewed and approved by the Board of Directors and Executive Director of Evergreen Community Care Inc. It is effective from the date signed below and supersedes Version 1.0. All staff with financial authority must read, acknowledge, and comply with this manual.

Signatory	Signature / Date
Executive Director	Signature: _____ Date: _____
Board Chair	Signature: _____ Date: _____



Finance and Audit
Committee Chair

Signature: _____ Date: _____

Staff Acknowledgement

I have received and read Version 2.0 of the Finance and Administration Manual. I understand its requirements and agree to comply with its policies in all financial activities I undertake on behalf of Evergreen Community Care Inc.

Staff Name (print)	Signature	Date